EXECUTIVE REPORT

CDT Equivalence Test — Simulated ETF Portfolio — Second-Month Cutoff

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Cutoff date: October 26, 2026 (62 days / 2.0 months since opening)

Figures calculated with the author's own portfolio-tracking system, using official market closing prices for the cutoff date. October 25, 2026 was a Sunday, so the cutoff uses the close of Monday, October 26.

1. Executive Summary

This report answers, for the second time, the same question: **can the simulated ETF portfolio deliver, every month, a withdrawal equivalent to the return of a 13% E.A. CDT without affecting the capital the investor actually disbursed?** (A CDT, certificado de depósito a término, is a Colombian fixed-term deposit; E.A. means effective annual rate.) A CDT at that rate yields 1.0237% per month; applied to the disbursed capital, this is equivalent to a target withdrawal of **$3,228,268.42 COP** per month.

Result: **the condition is NOT met, and the gap has widened.** At the close of October 26, 2026 the portfolio is worth $99,906.55 USD, that is, it is $2,665.50 USD (-2.60%) below the actual disbursed capital ($102,572.05 USD) before a single dollar is withdrawn. To deliver the CDT-equivalent amount, $1,038.04 USD would have to be extracted, which would leave the portfolio at $98,868.51 USD: **$3,703.54 USD (-3.61%) below the disbursed capital**, versus $1,822.69 USD (-1.78%) in the first month.

Unlike the first month, the market now also subtracted. At the first cutoff, the positions had gained +$1,015.80 USD (+1.01%), almost equal to the CDT's monthly return, and the gap was explained by entry costs ($1,838.94 USD, 1.79% of the disbursed capital). At this cutoff the cumulative market result is -$826.56 USD (-0.82% on the $100,733.11 USD invested): in the second month the portfolio lost $1,842.36 USD (-1.81%), concentrated in the correction of semiconductor and technology stocks. The entry costs have still not been amortized, so the $2,665.50 USD gap before the withdrawal is the sum of both effects.

Since the condition is not met, no sale or withdrawal is executed: the portfolio keeps its current composition.

2. Assumptions and Methodology

The methodology is the same as in the first report; this section summarizes the assumptions needed to read the figures and flags the changes in this cutoff.

2.1 Portfolio assumptions (common to the ETF report)

- **Opening exchange rate:** the conversion of Colombian pesos into dollars was carried out at the trading rate of Global66 (an online currency-transfer platform) — not at the official TRM, Colombia's representative market exchange rate — of $3,074.50 COP/USD, assuming a transfer ordered on August 20, 2026 with three business days for delivery to Interactive Brokers, so that the funds would be available on August 25, the opening date and the purchase date of the 13 positions.
- **Currency-conversion fee (Global66):** 1.4% on the amount sent, recorded by the platform as an "exchange-rate cost", with no additional operating costs. For the net capital invested to be $100,733.11 USD, the amount sent was $102,163.40 USD, with a fee of $1,430.29 USD.
- **GMF (4 x 1000):** the Gravamen a los Movimientos Financieros, a Colombian financial transactions tax, independent of Global66, of 0.4% on the amount sent: $408.65 USD.
- **Actual capital disbursed:** $102,572.05 USD (about $315,357,771 COP at the rate of $3,074.50). This figure, and not the net amount invested in the market, is the basis against which the capital-preservation condition is measured.
- **Transaction fees:** all trades are executed at Interactive Brokers under the IBKR Lite plan, with no commission per transaction on U.S.-listed stocks and ETFs.
- **Cash and dividends:** the $18.90 USD remainder from the SPY → SCHD rebalancing of September 17 and the $276.38 USD of accumulated dividends make up the cash (CASH) balance of $295.28 USD, which earns no return. **Change in this cutoff:** during the second month a single new dividend was received, from VTI ($25.81 USD, paid on September 28).
- **Composition:** the test executed no sale in the first month, so the portfolio keeps the composition of the main portfolio, including the SPY → SCHD change of September 17. There was no rebalancing and there were no new trades in the second month.

2.2 Assumptions specific to the CDT test

- **Reference rate:** CDT at 13% E.A.; equivalent monthly rate = (1.13)^(1/12) − 1 = 1.0237%.
- **Target amount in pesos:** actual capital disbursed × Global66 entry rate × monthly rate = $102,572.05 × 3,074.50 × 1.0237% = $3,228,268.42 COP. It is the same at every cutoff.
- **Exit conversion (updated in this cutoff):** the withdrawal is converted from USD to COP at the Global66 rate of the cutoff day, $3,173.43 COP/USD (at the first cutoff it was $3,329.61), and the platform charges a 2.0% exit fee (at the first cutoff, 3% for amounts between USD 950 and 1,000). Global66 sets different fees by day and by amount range, so they are verified on the platform for each

cutoff; those of this cutoff (rate of $3,173.43 and 2% fee) were verified. For the net amount received to equal the target, the amount to extract is grossed up: USD = target ÷ (exit rate × (1 − 0.02)).

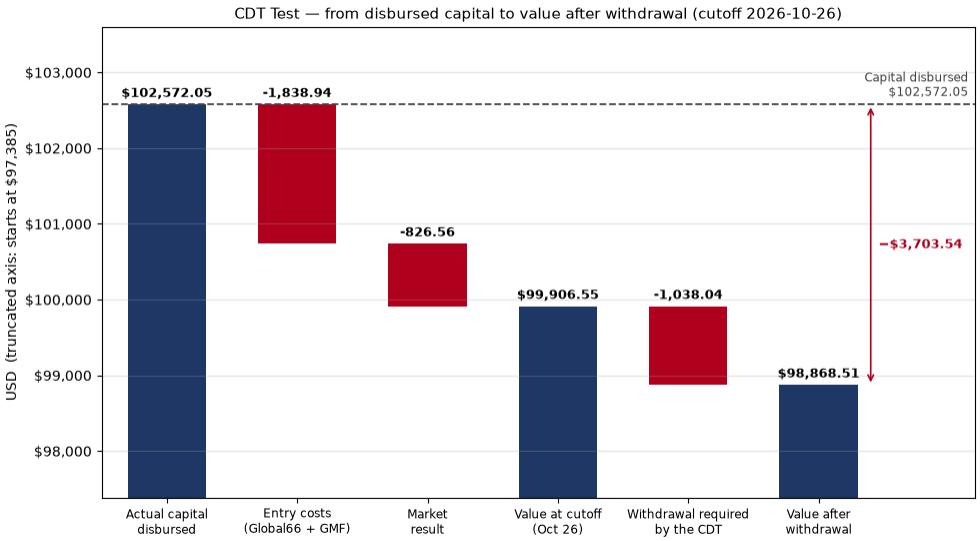
- **Independent evaluation each month:** each cutoff is measured separately against one month of interest. Since the first month's withdrawal was not executed, that interest is not accumulated into the second month's target (section 6.5 shows what would happen if it were).
- **Order of liquidation:** the available cash (CASH) is used first and, if it is not enough, part of the winning position with the highest percentage return is sold. Positions at a loss are never sold.
- **Hard condition of the test:** after the total withdrawal, the portfolio value must be greater than or equal to the actual capital disbursed in USD ($102,572.05).
- **Tools:** the yfinance library, the VS Code platform and the Claude artificial-intelligence assistant were used to generate the data, tables, dividend calculations and charts; the code was subjected to rigorous review and correction by the author of this report. The code is available to any interested party.

3. Selection Criterion for the 13 Original Positions

Unchanged from the first report, where it is documented in detail. In summary: in addition to sector and geographic diversification, each asset had to show a positive total-return history over an extended horizon before its inclusion (5 years for most; 3 and 2 years for MAGS and IBIT). 6 of the 13 positions beat the S&P 500 in total return (^SP500TR) over their verification horizon, and all of them recorded a positive total return; the rest were included for their contribution to diversification. The filter was an additional criterion, not an exclusionary one.

4. Result of the CDT Test

The following chart breaks down the path from the disbursed capital to the portfolio value after the withdrawal. It is built from the figures of the test (it is not a daily price series); the axis is truncated to make the differences visible.



4.1 Calculation of the Target Amount and Settlement

Item	Value
Capital invested in the market (net)	$100,733.11 USD
Global66 fee (1.4%)	$1,430.29 USD
GMF (4 x 1000)	$408.65 USD
Actual capital disbursed	**$102,572.05 USD**
Global66 entry rate (Aug 20, 2026)	$3,074.50 COP/USD
Reference capital in pesos	$315,357,771.28 COP
Monthly CDT rate (13% E.A.)	1.0237%
Target amount for the month	**$3,228,268.42 COP**
Global66 exit rate (cutoff Oct 26, 2026)	$3,173.43 COP/USD
USD to extract (includes 2% exit fee)	$1,038.04 USD
Covered with cash (CASH)	$295.28 USD
Shortfall to cover with a sale	$742.76 USD
Required sale of XLE (winner, +10.35%)	10.6657 shares × $69.64
Gross conversion to pesos	$3,294,151.45 COP

Item	Value
Global66 exit fee (2%)	-$65,883.03 COP (≈ $20.76 USD)
Net amount received	$3,228,268.42 COP

4.2 Verification of the Hard Condition

Item	Value
Portfolio value at cutoff (before the withdrawal)	$99,906.55 USD
Total withdrawal required	-$1,038.04 USD
Portfolio value after the withdrawal	$98,868.51 USD
Actual capital disbursed (threshold)	$102,572.05 USD
Difference versus the threshold	**-$3,703.54 USD (-3.61%)**
Is the capital preserved?	**NOT MET**

4.3 Comparison with the First Cutoff

Item	Cutoff 1 (Sep 25, 2026)	Cutoff 2 (Oct 26, 2026)
Portfolio value at cutoff	$101,748.91	$99,906.55
Cumulative market result (on $100,733.11)	+$1,015.80 (+1.01%)	-$826.56 (-0.82%)
Global66 exit rate (COP/USD)	$3,329.61	$3,173.43
Exit fee	3%	2%
USD to extract	$999.55	$1,038.04
Covered with cash	$269.47	$295.28
Shortfall covered with a sale	$730.08 (SOXX)	$742.76 (XLE)
Value after the withdrawal	$100,749.36	$98,868.51
Difference versus the threshold ($102,572.05)	**-$1,822.69 (-1.78%)**	**-$3,703.54 (-3.61%)**
Result	**NOT MET**	**NOT MET**

Since the condition is not met, the liquidation is not executed in this test: the portfolio keeps the composition in force at the cutoff, presented in the next section.

5. Composition and Performance at the Cutoff Close

The following table summarizes the 14 positions held at the close of October 26, 2026 (before any withdrawal), ordered from largest to smallest weight. “Return %” is each position's return versus its purchase price:

Position	Quantity	Price	Value (USD)	Weight %	Return %
SCHD	449.00	$35.30	$15,849.70	15.86%	+4.13%
VTI	27.00	$375.59	$10,140.93	10.15%	-0.39%
SOXX	20.00	$491.83	$9,836.60	9.85%	-2.83%
XLE	127.00	$69.64	$8,844.28	8.85%	+10.35%
MAGS	119.00	$70.70	$8,413.30	8.42%	+5.21%
XLV	46.00	$179.28	$8,246.88	8.25%	+2.62%
XLK	44.00	$186.32	$8,198.08	8.21%	+3.48%
GLD	19.00	$367.82	$6,988.58	7.00%	-13.80%
IBIT	112.00	$45.22	$5,064.64	5.07%	+1.30%
ILF	144.00	$33.48	$4,821.12	4.83%	-3.71%
IWM	17.00	$276.99	$4,708.83	4.71%	-7.04%
KBWB	52.00	$88.20	$4,586.40	4.59%	-8.27%
COPX	53.00	$73.81	$3,911.93	3.92%	-21.92%
CASH	295.28	$1.00	$295.28	0.30%	+0.00%

Total portfolio value: $99,906.55 USD, of which $295.28 USD (0.30%) is cash. Six positions are at a gain (XLE, MAGS, SCHD, XLK, XLV and IBIT) and seven at a loss; SOXX, the first month's winner (+13.14%), moved to -2.83%. The dividends accumulated since the opening total $276.38 USD and are included in the cash and in the total value. They are detailed below, attributed to the exact payment date of each ETF and to the number of shares held by the portfolio that day; the only new payment in the second month is VTI's:

Position	Payment date	Div. per share	Shares	Amount (USD)	% of total
SCHD	2026-09-23	$0.2670	449.00	$119.88	43.4%
XLE	2026-09-21	$0.3800	127.00	$48.26	17.5%
XLV	2026-09-21	$0.6420	46.00	$29.53	10.7%
VTI (new)	2026-09-28	$0.9560	27.00	$25.81	9.3%
KBWB	2026-09-21	$0.4600	52.00	$23.92	8.7%

Position	Payment date	Div. per share	Shares	Amount (USD)	% of total
IWM	2026-09-15	$0.7500	17.00	$12.75	4.6%
XLK	2026-09-21	$0.2210	44.00	$9.72	3.5%
SOXX	2026-09-15	$0.3250	20.00	$6.50	2.4%
TOTAL				**$276.38**	**100.0%**

Note: the amounts per position are shown rounded to the cent; the total of $276.38 USD corresponds to the sum of the unrounded values and is consistent with the cash balance ($18.90 remainder + $276.38 dividends = $295.28 USD).

6. Analysis: Why Is the Condition Not Met?

6.1 Now Both the Entry Costs and the Market Are Failing

The breakdown of the result at the cutoff is as follows:

- Cumulative market result: -$826.56 USD (-0.82% on the $100,733.11 USD invested). It is made up of +$1,015.80 USD in the first month and -$1,842.36 USD (-1.81%) in the second.
- Entry costs: -$1,838.94 USD (Global66 fee $1,430.29 + GMF $408.65), equal to 1.79% of the disbursed capital.
- Net effect before the withdrawal: -$2,665.50 USD (-2.60%), a figure consistent with the return in the ETF report.
- Required withdrawal: -$1,038.04 USD.
- **Gap versus the threshold:** $2,665.50 + $1,038.04 = $3,703.54 USD.

In the first month the market matched the CDT and the gap was an entry problem; in the second, the performance of the investments added to the problem. A 13% E.A. CDT would have paid, over two months, about 2.05% of the capital in interest (some 6.46 million COP, without reinvestment), while the portfolio, measured on the disbursed capital, stands at -2.60%.

6.2 What Would Have Had to Happen

To meet the condition, the value at cutoff would have had to be at least $102,572.05 + $1,038.04 = $103,610.09 USD, which is equivalent to a cumulative market return of +2.86% on the invested capital (versus the -0.82% observed), or to an additional gain of +3.71% on the current portfolio value. On top of this threshold comes the recurring cost of the exit: the 2% Global66 fee assumed for this withdrawal ($20.76 USD this month), which would be paid every month.

6.3 The Sale and the Market Context

The position chosen to cover the shortfall would have been XLE (+10.35% versus its purchase price), after exhausting the cash; no position at a loss would have been sold, in line with the project rule. At the first

cutoff the one chosen would have been SOXX, which is now at a loss and therefore can no longer be sold under that rule.

The month's result was marked by a sharp correction in semiconductor and technology stocks: SOXX fell 14.12% in the month (-$1,617 USD, about 87% of the month's price effect), and COPX (-14.90%) and GLD (-6.50%) also subtracted. In the opposite direction, XLE rose 12.25% in the month and SCHD and XLV advanced 6.29% and 5.03%. The 10-year U.S. Treasury yield (^TNX) closed at 4.986%, about 20 basis points below the previous cutoff (+34.7 basis points since the opening). The detail of this context and its sources is presented in the ETF report for the same cutoff.

6.4 Note on the Currency

The condition of this test is measured in dollars, the currency in which the investment is made. With the Global66 exit rate used ($3,173.43), the portfolio value is equivalent to about 317.0 million COP before the exit fee (about 310.7 million COP after the 2%), versus the 315.4 million COP disbursed. At the first cutoff, with a rate of $3,329.61, the equivalent was 338.8 million COP: the exit rate fell 4.7% between the two cutoffs and, with it, the favorable currency effect (+3.2% versus the entry rate, versus +8.3% at the first cutoff). It is a currency effect that can reverse and that does not replace meeting the condition in dollars.

6.5 Scope and Limitations

- **Two months do not allow conclusions about the strategy.** What they show is the starting arithmetic: with entry costs of 1.79%, an exit cost of 2% to 3% per withdrawal (according to the rate quoted for each range) and a target of 1.0237% per month, the portfolio needs a market return consistently above that of the CDT to sustain withdrawals without consuming capital.
- **On the convention of independent evaluation:** if the first month's unwithdrawn interest were accumulated into the second (≈ 6,456,536.84 COP over two months), the required withdrawal would be about $2,076.08 USD and the value after the withdrawal about $97,830.47 USD, that is, ≈ $4,741.58 USD below the threshold. The conclusion would be the same, with a larger gap; the report uses the convention of one month per cutoff, which is more favorable to the portfolio.
- **The result does not depend on the exit fee:** even with no withdrawal at all, the value at cutoff ($99,906.55) is below the disbursed capital ($102,572.05).
- **Exit rates:** the Global66 fee varies by day and amount range (3% at the first cutoff, 2% at this one). Both were verified on the platform for their cutoff date, but they may change at future cutoffs, so they are verified again at each evaluation.

7. Next Steps

- Keep the composition in force at the cutoff, since the liquidation was not executed, and record the test as not met in the second month.

- Carry out the next evaluation with the close of Wednesday, November 25, 2026 (a market business day), applying the same criterion.
- In the next evaluation, measure the hard condition on the actual capital disbursed ($102,572.05 USD), with the exit rate and fee quoted by Global66 that day, and report separately the market effect, the costs and the currency effect.
- Document whether the convention of one month per cutoff is maintained or whether unwithdrawn interest is accumulated, before the third cutoff.
- Keep the explicit record of fees, cash remainders and dividends at each cutoff, using the same methodology as this report.